

Name _____

Period _____

UNIT 1.3



REAL AND NOMINAL GDP

PART A

There are two ways to calculate **GROSS DOMESTIC PRODUCT**. Answer the following questions regarding **REAL** and **NOMINAL GDP**.

Define **NOMINAL** GROSS DOMESTIC PRODUCT.

Define **REAL** GROSS DOMESTIC PRODUCT.

Define the **STANDARD OF LIVING**.

Finish this sentence to state an economic law:

"A NATION'S STANDARD OF LIVING IS BEST MEASURED BY CHANGES IN ITS

Explain what **REAL GDP PER CAPITA** identifies in a society.

Name THREE factors that lead some nations to have higher **REAL** GDPs than others.

CALCULATING

REAL GDP

PART B

First, **CALCULATE THE NOMINAL GDP** for each country in 2015 and 2016.
Then, calculate the **REAL GDP** in 2016. Was there **GDP GROWTH**?

UNITED STATES GDP DATA - 2015

	Steel	Wheat	Corn	Sugar
PRICE	\$10	\$2	\$3	\$1
QUANTITY	400,000	100,000	200,000	200,000
TOTAL				

UNITED STATES GDP DATA - 2016

	Steel	Wheat	Corn	Sugar
PRICE	\$10	\$3	\$2	\$2
QUANTITY	450,000	100,000	300,000	300,000
TOTAL				

RUSSIA GDP DATA - 2015

	Copper	Salt	Lumber	Oil
PRICE	\$20	\$5	\$10	\$40
QUANTITY	200,000	200,000	300,000	50,000
TOTAL				

RUSSIA GDP DATA - 2016

	Copper	Salt	Lumber	Oil
PRICE	\$12	\$6	\$20	\$20
QUANTITY	250,000	150,000	400,000	50,000
TOTAL				

REMEMBER!

$$\text{REAL GDP IN 2016} = \frac{2016 \text{ QUANTITY}}{2015 \text{ PRICES}}$$



2015 Nominal GDP _____

2016 Nominal GDP _____

2016 Real GDP _____

EXPANSION or CONTRACTION



2015 Nominal GDP _____

2016 Nominal GDP _____

2016 Real GDP _____

EXPANSION or CONTRACTION



REAL GDP

GERMANY GDP DATA - 2015

	Iron	Coal	Wheat	Granite
PRICE	\$15	\$5	\$2	\$20
QUANTITY	150,000	500,000	250,000	100,000
TOTAL				

GERMANY GDP DATA - 2016

	Iron	Coal	Wheat	Granite
PRICE	\$20	\$8	\$3	\$25
QUANTITY	100,000	500,000	300,000	100,000
TOTAL				

JAPAN GDP DATA - 2015

	TVs	Cameras	Silk	Fish
PRICE	\$1000	\$500	\$50	\$2
QUANTITY	2000	10,000	200,000	500,000
TOTAL				

JAPAN GDP DATA - 2016

	TVs	Cameras	Silk	Fish
PRICE	\$1500	\$400	\$55	\$1
QUANTITY	2500	15,000	250,000	750,000
TOTAL				

REMEMBER!

$$\text{REAL GDP IN 2016} = \frac{2016 \text{ QUANTITY}}{2015 \text{ PRICES}} \times$$



2015 Nominal GDP _____

2016 Nominal GDP _____

2016 Real GDP _____

EXPANSION or CONTRACTION



2015 Nominal GDP _____

2016 Nominal GDP _____

2016 Real GDP _____

EXPANSION or CONTRACTION



REAL GDP

PART C

REAL GDP PER CAPITA is the most accurate measurement of a nation's **STANDARD OF LIVING**. Calculate the **REAL GDP PER CAPITA** for each country in 2015 and 2016. Then indicate what happened to the **STANDARD OF LIVING** in each country.

REMEMBER!

$$\frac{\text{REAL GDP PER CAPITA}}{\text{POPULATION}} = \frac{\text{REAL GDP}}{\text{POPULATION}}$$

UNITED STATES



	2015	2016
REAL GDP	\$12 TRILLION	\$15 TRILLION
POPULATION	300 MILLION	300 MILLION

2015 Real GDP per capita _____

2016 Real GDP per capita _____

Did the standard of living increase, decrease or stay the same? Explain.

GERMANY



	2015	2016
REAL GDP	\$3 TRILLION	\$5 TRILLION
POPULATION	120 MILLION	200 MILLION

2015 Real GDP per capita _____

2016 Real GDP per capita _____

Did the standard of living increase, decrease or stay the same? Explain.

JAPAN



	2015	2016
REAL GDP	\$5 TRILLION	\$6 TRILLION
POPULATION	10 MILLION	30 MILLION

2015 Real GDP per capita _____

2016 Real GDP per capita _____

Did the standard of living increase, decrease or stay the same? Explain.